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LINE 12

26-CIV-06641 SANJIV S. DHAWAN, AS TRUSTEE OF THE SANJIV SHARAN DHAWAN AND SHILPA DHAWAN JOINT LIVING TRUST VS. CALIFORNIA TD SPECIALIST, ET AL.

SANJIV S. DHAWAN, AS TRUSTEE OF THE SANJIV SHARAN DHAWAN AND SHILPA DHAWAN JOINT LIVING TRUST SARAH SHAPERO
CALIFORNIA TD SPECIALIST

PLAINTIFF'S MOTION FOR PRELIMINARY INJUNCTION

TENTATIVE RULING:

For the reasons stated below, Plaintiff Sanjiv Dhawan (as Trustee)'s request for a preliminary injunction, made via *ex parte* application on August 25, 2026, is DENIED.

Background. Plaintiff Sanjiv Dhawan (in his capacity as Trustee) owns real property in Menlo Park that is in default under a loan, secured by a deed of trust. This property is not his residence, but an investment property. Plaintiff's loan has an unpaid balance of over $3.7 million, plus accruing interest, fees, and costs. (Cmplt., ¶ 6; Dhawan Decl., ¶ 2.)

After the property was initially scheduled for a foreclosure sale, Plaintiff apparently obtained an initial 45-day postponement of the sale by presenting defendant MAMS RTL Trust (Defendant), who is specially appearing to oppose this motion, with a listing agreement, as allowed under Civil Code section 2924f, subdivision (e)(1), indicating that the property would be publicly listed for sale. It appears that the sale was then postponed to August 11, 2026. Shortly before that date, Plaintiff presented Defendant with a California Residential Purchase Agreement (PSA), indicating that an agreement had been reached to sell the property to The Suri Family Living Trust (Sunil Suri, Trustee). The Purchase Agreement identified a purchase price of about $5.15 million, 80% of which would be financed. The buyer was required to pay, within five days of acceptance, $103,000, and a $1,130,000 total downpayment.

Having presented Defendant with the Purchase Agreement, Plaintiff requested another 45-day extension of the sale pursuant to Civil Code section 2924f, subdivisions (e)(3)-(4), which mandates another 45-day extension where the foreclosure trustee is presented with a "*bona fide*," fully executed sales contract. To determine whether the Purchase Agreement was genuine (i.e., whether the proposed sale was actually going forward), Defendant requested evidence from Plaintiff (and from escrow) that the buyer had met the initial contractual requirement of paying the $103,000 deposit. Plaintiff could not provide such evidence, because it had not been paid. Plaintiff argued, however, that Civil Code section 2924f, subdivision (e)(3) does not expressly require payment of a deposit.

A trustee's sale was apparently re-scheduled for August 26, 2026. On August 25, 2026, one day before the scheduled sale, Plaintiff, through his counsel, Sarah Shapero, appeared *ex parte* seeking a temporary restraining order and a preliminary injunction enjoining the sale, on grounds that Plaintiff had entered into a contract to sell the property, and therefore (according to Plaintiff) was automatically entitled to the additional 45-day extension under Civil Code 2924f, subdivision (e)(3). Plaintiff's *ex parte* application argued that under Civil Code section 2924f, subdivision (e)(3), since Plaintiff provided the foreclosure trustee with a fully executed purchase agreement, the Defendant trustee had no choice but to grant an additional 45-day continuance of the sale.

According to the agreements in the signed Purchase Agreement, the buyer's $103,000 deposit was due within 5 days after acceptance, which occurred on either August 10 or 11, 2026. Thus the deposit was due either August 13 or 14, 2026. As of the August 25, 2026 *ex parte* hearing, Plaintiff admitted that no deposit had been made. Defendant opposed the *ex parte* application, arguing that under Civil Code section 2924f, subdivision (e)(3)-(4), to obtain the additional 45-day extension, Plaintiff must present evidence of a "*bona fide*" sales contract, and since the buyer never paid the deposit, Plaintiff has not satisfied the "bona fide" contract requirement.

At the August 25, 2026 ex parte hearing, the Court set a hearing on plaintiff's request for a preliminary injunction for September 8, 2026. The parties agreed that no foreclosure sale would proceed before September 9, 2026.

Plaintiff seeks a preliminary injunction barring any trustee's sale until after September 25, 2026, which is 45 days after the trustee was presented with the Purchase Agreement.

<u>Legal standard governing preliminary injunctions.</u> A preliminary injunction is an extraordinary equitable remedy that requires a showing of great or irreparable harm. (*Costa Mesa City Employees' Assn. v. City of Costa Mesa* (2012) 209 Cal.App.4th 298, 306; *Dep't of Fish & Game v. Anderson-Cottonwood Irrigation Dist.* (1992) 8 Cal.App.4th 1554, 1565.) If that showing is made, the court must then consider the likelihood that the moving party will ultimately prevail on the merits and the relative harm to the parties from issuance or non-issuance of the injunction. (*Id*.) The purpose of a preliminary injunction is to preserve the status quo until a determination on the merits. (*Id*.) The court's determination must be guided by a "mix" of the potential-merit and interim-harm factors; the greater plaintiff's showing on one, the less must be shown on the other to support an injunction. (*Butt v. State of Calif.* (1992) 4 Cal.4th 668, 678.) But the trial court may not issue an injunction, regardless of the amount of interim harm, "unless there is some possibility" that plaintiff will ultimately prevail on the merits of the claim(s). (*Jamison v. Department of Transp.* (2016) 4 Cal.App.5th 356, 362.)

"Plaintiff carries the burden of proof and persuasion on these issues." (*Drakes Bay Oyster Co. v. California Coastal Com*. (2016) 4 Cal.App.5th 1165, 1172 [citing *O'Connell v. Superior Court* (2006) 141 Cal.App.4th 1452, 1481]; Code Civ. Proc., § 527, subd. (a).) The court recognizes that plaintiff needs only show that he is "likely to prevail" however plaintiff must still support his argument(s) with admissible evidence to sustain his burden. (Code Civ. Proc. § 527 subd. (a); see also *Finnie v. Town of Tiburon* (1988) 199 Cal.App.3d 1, 14–15 ["…while the injunction may rest upon either a verified complaint or affidavits, the law is settled that the allegations of either must be factual; conclusory averments in either are insufficient to support issuance of an injunction."].)The burden of establishing entitlement to preliminary injunctive relief rests with the moving party.

<u>Based the evidence presented, Plaintiff has not established a sufficient likelihood of prevailing on his claim for a statutory postponement of the trustee's sale</u>. Civil Code section 2924f states, in part:

> (e)(1) With respect to residential real property containing no more than four dwelling units that is subject to a power of sale contained in any deed of trust or mortgage, a sale of the property under the power of sale shall not be conducted until the expiration of an additional 45 days following the scheduled date of sale pursuant to subdivision (a) or (c) of Section 2924g if the trustee receives, at least five business days before the scheduled date of sale, from the mortgagor or trustor, … *a listing agreement with a California licensed real estate broker to be placed in a publicly available marketing platform for the sale of the property* at least five business days before the scheduled date of sale. The provisions of this paragraph shall not be used to postpone the scheduled sale date more than once.
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> …
>
> (3) If a scheduled date of sale has been postponed pursuant to paragraph (1) and the trustee receives, at least five business days before the scheduled date of sale, from the mortgagor or trustor, … a copy of a purchase agreement for the sale of the property at least five business days before the scheduled sale, the trustee shall postpone the scheduled date of sale to a date that is at least 45 days after the date on which the purchase agreement was received by the trustee. The provisions of this paragraph shall not be used to postpone the scheduled sale date more than once.
>
> (4) For purposes of this subdivision, "purchase agreement" means a *bona fide* and fully executed contract for the sale of the property that is subject to a power of sale with a purchase price amount equal to or greater than the amount of the unpaid balance of all obligations of record secured by the property that includes the name of the buyer, the sales price, the agreed closing date, and acceptance by the designated escrow agent.

(Emphasis added.)

Plaintiff offers evidence that on August 10 or 11, 2026, Plaintiff provided Defendant with an executed Purchase Agreement that included the name of the buyer (The Suri Family Living Trust), the sales price (about $5.15 million), the agreed closing date (45 days after acceptance), and acceptance by the designated escrow agent (Nesi Title & Escrow Company). (See Aug. 25, 2026 Plaintiff's Declaration and attached exhibits.) By its terms, the buyer's $103,000 was due by Aug. 13 or 14, 2026. As of August 25, 2026, the date of Plaintiff's *ex parte* application, Plaintiff admitted that no deposit had been made. The September 8, 2026 hearing is taking place nearly a month after the buyer's deadline to deposit the $103,000 has come and gone. Plaintiff's *ex parte* application offered no explanation from either the Plaintiff or the purported buyer as to why the deposit was not paid. The buyer did not appear at the August 25, 2026 ex parte hearing, and has not provided any declaration pertaining to this matter.

Plaintiff argues that once Plaintiff presents the trustee with a signed Purchase Agreement, under Civil Code section 2924f, subsection (e)(3), Defendant must then delay the sale for another 45 days. But this argument essentially reads the "*bona fide* [contract]" requirement out of the statute. The word "bona fide" is an express statutory qualification. The Defendant here has reasonably requested evidence showing that the buyer is actually committed to the transaction. It is reasonable for a trustee, under these circumstances, to be cautious of a defaulting owner presenting the trustee with what appears to be a paper contract for the sole purpose of obtaining a further delay under Civil Code section 2924f, subdivision (e)(3). Plaintiff has not established with admissible evidence that this purported sale is actually going forward.

The best evidence that the purported sale is actually going forward would presumably be payment of the deposit, accompanied by an explanation from the buyer as to why they missed the deadline. Not only was the deposit never paid, but there is silence from the purported buyer. During the course of a sale, there are communications between sellers and buyers, either directly or indirectly. Thus, given that the buyer may lose a property to foreclosure, one would expect an explanation of why the buyer missed the deposit payment deadline by nearly a month and offer any explanation. If the buyer intended to proceed with the purchase, presumably, the court would have before it a signed declaration from the buyer explaining its failure to pay the deposit, attaching evidence showing the buyer's financial ability to complete the transaction, and stating when all the funds will be deposited and when escrow will close. That the buyer has nothing to say here is compelling evidence that this purported transaction is not going forward. So to is it compelling that Plaintiff has failed to provide any evidence that the transaction will go forward.

Plaintiff is correct that Civil Code section 2924f, subdivision (e)(3) does not expressly require payment of a deposit. But the Purchase Agreement expressly does, and it was not paid. The deposit requirement is a built-in, contractual milestone intended to demonstrate the buyer's commitment. Because it was not paid, the court has before it no competent evidence that the transaction is bona fide.

The Ludwig declaration filed with the Opposition papers states that on August 28, 2026 (three days after the August 25 *ex parte* hearing), Plaintiff's counsel emailed Mr. Ludwig (counsel for Defendant), stating that Plaintiff's counsel had learned somehow that the buyer allegedly had a family emergency after opening the escrow, and has travelled to India, thus explaining the buyer's failure to pay the deposit. (Ludwig Decl., ¶ 10.) Plaintiff's counsel's email also stated, however, that apparently, a recent title report shows two outstanding liens on the property, which apparently gave the buyer cold feet and caused the buyer to shy away from the transaction. (*Id.*)

If anything, Plaintiff's counsel's August 28, 2025 email provides further support for the court's conclusion that Plaintiff has not met his burden. First, there is no competent evidence of the facts stated in Plaintiff's counsel's August 28 email. Plaintiff's counsel has no personal knowledge of any of those statements/facts, all of which appear to constitute double-hearsay. And even if those facts are true, they suggest that the buyer has, in fact, backed out of the transaction, which would be further indication that there is no bona fide sale actually going forward.

Accordingly, Plaintiff appears unlikely to establish an entitlement to the 45-day extension under Civil Code section 2924f, subdivision (e)(3)-(4).

Defendant's Opposition papers also offer evidence that Plaintiff never actually marketed or publicly listed the property for sale, despite having provided a listing agreement. For example, Plaintiff offers no MLS printout, broker declaration, showing or offer history, photographs, or other evidence that the Property was actively marketed to the public. (Ludwig Decl., ¶ 3.) Defendant argues that this failure to publicly list the property for sale constitutes further evidence that the Purchase Agreement is not "bona fide." The court agrees that this omission is further evidence suggesting that there is not a bona fide offer.

<u>Plaintiff has not established that the balance of interim harms warrants injunctive relief</u>. Plaintiff's asserted harm must be considered in light of the evidentiary record of the purported sales transaction. As explained, Plaintiff offers scant evidence that the purported sales contract here is genuine/bona fide. Plaintiff argues that he seeks only a relative short delay in the sale (another 45 days), and that the balance of hardships favors Plaintiff because without injunctive relief, he would lose his property. But that argument could be made for every borrower in default. If every defaulting borrower could obtain an automatic 45-day additional delay under Civil Code section 2924f, subdivisions (e)(3)-(4) merely by presenting a signed sales contract, despite the existence of evidence that the buyer actually has no intention of proceeding with the purchase, it would effectively deny all lenders of their contractual and statutory foreclosure rights. Moreover the property is not plaintiff's home but an investment property. The court therefore concludes that the balance of interim harms does not weigh sufficiently in Plaintiff's favor to warrant preliminary injunctive relief.

<u>Conclusion</u>. For the foregoing reasons, Plaintiff's request for a preliminary injunction is DENIED.

Since Plaintiff did not have the opportunity to file a reply because of the short briefing schedule required for this motion, if Plaintiff has evidence to demonstrate that there is a bona fide offer, Plaintiff shall properly contest the tentative rulings, file, serve and email Department 4 by 11:00 a.m. on September 8, 2026 that evidence (in admissible form). Plaintiff may also file, serve and email Department 4 a reply brief by the same deadline or may argue orally at the hearing. If Plaintiff intends to offer any new legal authority, that legal authority shall be emailed to Department 4 and all parties by the same deadline. The court will not consider evidence at the hearing, absent good cause, unless it has been emailed by the deadline.

If the tentative ruling is uncontested, it shall become the order of the court. Thereafter, counsel for specially appearing defendant shall prepare a written order consistent with the court's ruling for the court's signature, pursuant to California Rules of Court, rule 3.1312, and provide written notice of the ruling to all parties who have appeared in the action, as required by law and the California Rules of Court.

2:00 PM
LINE 13

26-UDL-00049 EQUITY RESIDENTIAL MANAGEMENT LLC VS. LIDUVINA DEL PILAR CANTILLO, ET AL.

EQUITY RESIDENTIAL MANAGEMENT LLC KIYOSHI DIN
LIDUVINA DEL PILAR CANTILLO

PLAINTIFF’S MOTION FOR ENTRY OF JUDGMENT PURSUANT TO STIPULATION

TENTATIVE RULING:

The court GRANTS Equity Residential Management unopposed motion for entry of judgment pursuant to stipulation. The request for judicial notice is granted. The unopposed motion is granted pursuant to Code of Civil Procedure section 664.6.

The parties settled this action wherein defendant agreed to pay plaintiff $13,830.49 as principal plus $2,000 in attorney’s fees and court costs for a total of $15,830.49 as the “Balance.” It further provides that defendant shall make payments of $2,322.05 on April 15, 2026, and April 30, 2026. The parties also agreed that the court would retain jurisdiction to enforce the settlement agreement.

The declaration of Karen Webster states that defendants did not make the April 2026 payments. Accordingly, the defendant is in breach, and under the settlement agreement, plaintiff is entitled to a judgment of $15,830.49.

According, the dismissal of this action is vacated, and judgment is entered for plaintiff and against defendant Juan Camilo Romero Moissl in the amount of $15,830.49.

If the tentative ruling is uncontested, it shall become the order of the court. Thereafter, counsel for plaintiff shall prepare a written order and proposed judgment consistent with the court’s ruling for the court’s signature, pursuant to California Rules of Court, rule 3.1312, and provide written notice of the ruling to all parties who have appeared in the action, as required by law and the California Rules of Court.